



MONEY AND BANKING



What is money?

The stock of assets that can be readily used to make transactions.

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Three Functions of Money

Store of value: transfer purchasing power from present to the future. Of course, money is an *imperfect* store of value.

Unit of account: provides the terms in which prices are quoted and debts are recorded. The yardstick with which we measure economic transactions.

Medium of exchange: we use it to buy goods and services. The ease with which money is converted into other things — goods and services — is called money's *liquidity*.

WHY NOT A BARTER ECONOMY?

A barter economy permits only *simple* transactions.

Barter system requires *double coincidence of wants*.

Money makes more *indirect transactions* possible.

For instance, a professor uses his salary to buy books; the book publisher uses its revenue from the sale of books to buy paper; the paper company uses its revenue from the sale of paper to pay the lumberjack; the lumberjack uses his income to send his child to college; and the college uses its tuition receipts to pay the salary of the professor.

Money Supply in India

Narrow money: A] currency with the public

$$(M_1) = A + B$$

notes in circulation

circulation of rupee coins

circulation of small coins

cash in hand with banks

B] demand deposits of banks

‘other’ deposits with RBI

“Other” deposits with RBI (ex-Governors of RBI are permitted to use RBI as any other commercial bank). Also include the demand deposits with the RBI held by the central and the state governments, foreign central banks and foreign governments, international financial institutions (e.g. IMF).

MONETARY AGGREGATES IN INDIA

- **M2** = M1+ Time Liabilities of Savings Deposits with the Banking System + Certificates of Deposit issued by Banks + Term Deposits of residents with a contractual maturity of up to and including one year with the Banking System

= Currency with the Public + Current Deposits with the Banking System + Savings Deposits with the Banking System + Certificates of Deposits issued by Banks + Term Deposits of residents with a contractual maturity up to and including one year with the Banking System + 'Other' Deposits with RBI*.

Note: * 'Other' deposits with RBI comprise mainly: balances in the accounts of foreign Central banks and Governments; accounts of international agencies such as the International Monetary Fund, etc.

MONETARY AGGREGATES IN INDIA

- $M3 = M2 + \text{Term Deposits with a contractual maturity of over one year with the Banking System} + \text{Call/Term borrowings from 'Non-depository' financial corporations by the Banking System.}$

General definition:

Money Supply (M^S) = Currency + Deposits

RESERVE MONEY / HIGH POWERED MONEY (MONETARY BASE)

RM also called the government money is produced by the Central Bank (RBI, in India) and held by the people and the banks. It is composed of:

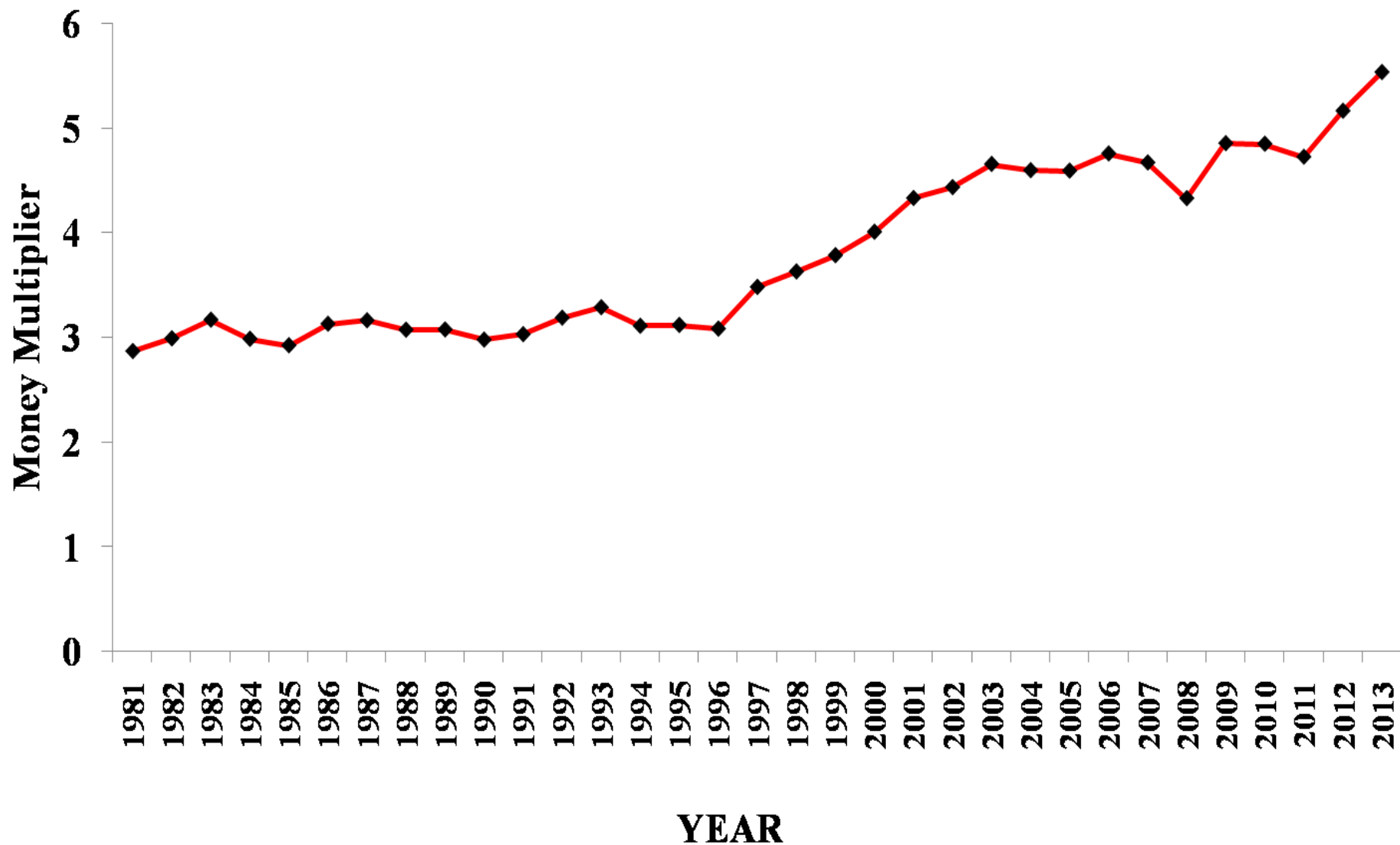
- ✓ **Currency with the public in circulation.**
- ✓ **Cash reserves of commercial banks: (i) cash reserves with the banks themselves and (ii) Bankers' deposits with RBI (which commercial banks maintain with RBI as reserve and consider as their '*vault*' cash).**
- ✓ **'Other' deposits with RBI.**

MONEY MULTIPLIER

Supply of money is an *increasing* function of *reserve money*.

$$M^S = m \text{ RM} \quad \text{where } m > 1$$

$$m = \frac{M^S}{\text{RM}} \quad \text{The money multiplier is the ratio of stock of money to the stock of high powered money.}$$



Money Multiplier in India

The Important Tool of Controlling Money Supply

Open Market Operations (OMO): the purchase and sale of government securities/bonds. An OMO by the RBI affects bank reserves.

Consider an open-market purchase by the RBI of a government security worth of Rs. 1,000. *Government securities constitute the major part of RBI assets.*

The RBI writes a cheque on itself, drawn on the Mumbai RBI. What happens to that cheque?

Suppose, Mr. B sold the security to the RBI. That individual B will take the cheque and deposit it at a local commercial bank, SBI Powai branch.

SBI will then present the cheque to the RBI for payment. And RBI will credit the SBI account by Rs. 1,000. The open-market purchase thus results in an increase of an equal amount in bank reserve deposits with the RBI.